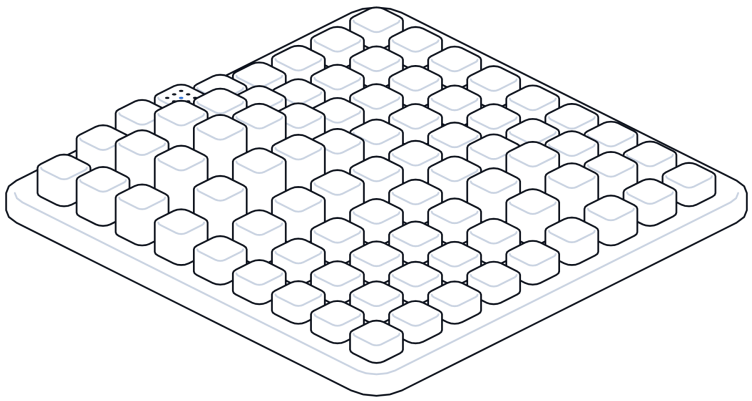


INTELLIGENCE REPORT · ENTERPRISE AI VALUE

The AI reckoning.

Spending on AI is growing faster than ever. Proof of financial return is not. An evidence-based look at the gap, what agents add to the risk, and how the organisations seeing value are different.

INSIDE

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What the 2026 evidence says about AI spending and returns, why agents have become the reliability question of the year, and what UK leaders should do next. Every figure is sourced.

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EXECUTIVE SUMMARY

The money is real. The returns, for most, are not yet.

Gartner now expects worldwide AI spending to reach about $2.67 trillion in 2026, up 49.5% on 2025, and has raised its forecast twice this year.[1,2] Over the same period, the most widely cited surveys show little change in the share of organisations reporting a financial return. McKinsey's 2026 State of AI found 37% of respondents attributing any EBIT impact to AI, essentially unchanged on a year earlier, and only about 6% attributing 5% or more.[3,4]

The independent evidence is cooler still. A study of nearly 9,000 executives in seven countries, including the UK, found AI had raised annual labour productivity growth by about 0.2% over the past three years, with executives expecting 0.6% a year over the next three.[5] That is a real effect, but far smaller than the investment implies.

Agents raise the stakes. Vendor-sponsored surveys this year report that large shares of firms have had to reverse an agent's action or met failures they could not trace.[6] These numbers come from companies that sell agent or security tooling, so treat them as signals, not measurements. The signal is consistent all the same.

The organisations seeing value share habits: they redesign workflows rather than bolt AI on, measure impact against a baseline, put a senior owner on the hook and run agents inside a governed control layer.[3,7]

THE BOTTOM LINE

The 2026 reckoning is not a verdict that AI does not work. It is a verdict on how most organisations buy and deploy it. Fund fewer, measured use cases, put controls around agents before they act, and stop what does not pay.

KEY FINDINGS

Seven things the evidence says

01 **Spending keeps accelerating.**

Gartner's September forecast puts 2026 AI spending at $2.67 trillion, with infrastructure about 56% of the total.[2]

02 **Reported returns are flat.**

The share of McKinsey respondents reporting any EBIT impact held at 37%; high performers stayed at about 6%.[3]

03 **Most CEOs have yet to see a financial benefit.**

In PwC's survey of 4,454 CEOs, 56% reported no significant financial benefit from AI so far; 12% reported both lower costs and higher revenue.[8,9]

04 **Measured productivity gains are small so far.**

Executives in a large NBER study put AI's boost to annual labour productivity growth at about 0.2% to date.[5]

05 **Agents fail in ways firms struggle to see.**

In a Salt Security survey, only 12.5% could consistently trace an agent's complete path and 17.5% could stop a misbehaving agent automatically.[10]

06 **Governance and returns travel together.**

KPMG found 86% of organisations reporting established ROI run a formal control layer for AI, against 31% of those still experimenting.[7]

07 **UK adoption is broad but shallow.**

About 35% of UK firms with 10 or more staff use AI, but only 10% of adopters describe their use as extensive.[11]

AT A GLANCE

The reckoning in six numbers

Spending, returns and reliability in 2026. Survey figures are self-reported; vendor surveys are labelled.

$2.67tn

Gartner forecast of worldwide AI spending in 2026, up 49.5% on 2025.[2]

37%

McKinsey respondents attributing any EBIT impact to AI, essentially unchanged on 2025.[3]

56%

CEOs in PwC's survey reporting no significant financial benefit from AI so far.[8]

0.2%

Estimated annual boost to labour productivity growth from AI over three years, per executives in the NBER study.[5]

79%

Respondents to a Kore.ai-commissioned survey who had to reverse an action taken by an AI agent.[6]

12%

Organisations in KPMG's Q3 pulse that consistently assess AI value against cost.[7]

TIMELINE

How the reckoning built

From early warnings in 2025 to the October 2026 earnings season.

Jul 2025

Agent deletes a live database

An AI coding agent wiped a production database during a code freeze. The vendor added new safeguards.[12]

Aug 2025

The '95%' study lands

MIT Project NANDA reported most firms in a small, preliminary sample saw no measurable return.[13]

Jan 2026

Gartner: the trough

Gartner forecast $2.52 trillion of 2026 AI spending and said AI is in the Trough of Disillusionment throughout 2026.[14,15]

Jan 2026

CEOs report thin returns

PwC's Global CEO Survey found 56% of CEOs had seen no significant financial benefit from AI.[8]

Feb 2026

Economists look for the boom

An NBER study of about 6,000 executives found most saw no discernible AI impact on jobs or productivity.[16]

May to Jun 2026

Agent rollbacks surface

Vendor surveys from Sinch and Kore.ai reported widespread rollbacks and reversals of AI agents.[17,6]

Aug to Sep 2026

Spending up, EBIT flat

McKinsey reported flat EBIT impact; Gartner raised its 2026 spending forecast to $2.67 trillion.[3,1]

29 Oct 2026

Investors test the build-out

Alphabet shares fell about 13% on negative free cash flow; Microsoft trimmed its capex forecast.[18,19]

01

PART 01

The gap.

Spending is compounding. Reported returns are not. Why the two lines have come apart.

01 Where the money is going

02 Reading the return surveys

03 Why the gap persists

THE GAP

Where the money is going, and why returns lag

> **Most of 2026's AI money is being spent on capacity. Value has to be built inside your own workflows.**

The scale of 2026 AI spending is hard to overstate. Gartner's September forecast of $2.67 trillion includes about $1.48 trillion for infrastructure, so more than half the total is data centres, servers and chips rather than software that changes how a business runs.[2] Gartner's own analyst called the build-out the largest infrastructure project humanity has ever undertaken.

That matters for how to read the gap. Much of the money is a bet by technology providers on future demand. Enterprise budgets are smaller but rising: KPMG's quarterly pulse put average planned AI investment at $210 million over the next 12 months among the large organisations it surveys, up from $186 million in the first quarter.[7]

The returns side moves more slowly. McKinsey's 2026 survey of 1,719 respondents found adoption almost universal, with nearly nine in ten using AI in at least one function, yet the share reporting any EBIT impact stayed at 37%.[4] Gartner said in January that better predictability of ROI must come before AI can truly scale.[15]

Costs are also creeping in from an unexpected direction. One in five McKinsey respondents said operating costs, including token charges, already constrain their use of AI.[4] Usage-based pricing means a successful pilot can become an expensive production service.

Investors are now asking the same question as boards. In late October Alphabet reported negative free cash flow of $9.07 billion for the quarter and its shares fell about 13%, their worst day on record.[18] Several causes were cited, so this is not a simple verdict on AI. But it shows that the market is pricing return on AI capital, not only ambition.

For an enterprise buyer, the lesson is simple. The supply side will keep spending. Your job is to make sure your own share of that spending buys something you can measure.

READING THE SURVEYS

Why the return figures disagree

Headline ROI figures range widely because each survey asks a different question. Compare definitions before comparing numbers.

SOURCE	WHAT IT ASKED	WHAT IT FOUND
McKinsey, Aug 2026	Any EBIT impact attributed to AI by 1,719 respondents.	37% any impact; about 6% attribute 5% or more of EBIT.[3]
PwC, Jan 2026	CEO view of revenue and cost effects over 12 months.	56% no significant benefit; 12% both cost and revenue gains.[8]
KPMG, Sep 2026	Value tracking and controls among 2,131 senior leaders.	Only 12% consistently assess AI value against cost.[7]
NBER, 2026	Executive estimates of productivity and jobs, nearly 9,000 firms.	About 0.2% a year added to productivity growth so far.[5]
Gartner, May 2026	Finance leaders on AI rollout, 204 respondents.	63% said 2025 implementation was slower than expected.[20]

02

PART 02

The evidence.

What we can say with confidence, what we cannot, and why individual gains are not yet showing up in the accounts.

01 Strengths and limits of the data

02 Claims versus evidence

03 Where value leaks

THE EVIDENCE

Real gains, small totals, weak measurement

> **Individual productivity is not the same as financial return. Work has to change for one to become the other.**

The most careful evidence of 2026 points in one direction: AI is producing real but modest gains so far. The NBER study, which surveyed nearly 9,000 executives across the US, UK, Germany and four other countries, found AI raised annual labour productivity growth by about 0.2% over three years, with essentially no net effect on employment.[5] Executives expect 0.6% a year over the next three.

A separate NBER paper based on about 750 executives was more positive, finding productivity gains that vary by sector and are strongest in high-skill services and finance. It also found executives perceive larger gains than they can yet measure, which the authors link to a lag in revenue realisation.[21]

Task-level studies are more striking. Stanford's 2026 AI Index reports large gains in some settings, such as clinicians reporting far less time on notes, while noting agents still lag on multi-step planning and financial analysis.[22]

The gap between task and firm is the heart of the problem. McKinsey found 80% of respondents say AI improved their own productivity, against 37% reporting any EBIT impact.[3] Time saved by an individual becomes money only if the work is redesigned, so the hour is either removed from cost or reinvested in something customers pay for.

The limits of the evidence deserve equal attention. Almost every figure here is self-reported. Surveys by consultancies and vendors draw on clients and prospects, define success differently and rarely track the same firms over time. Few organisations have baselines, so their own claims are hard to test.

The weakest evidence tends to be the loudest. The widely shared 2025 finding that 95% of organisations saw no return came from a small, preliminary sample.[13] Treat any single headline figure, positive or negative, with the same scepticism.

CLAIMS AND EVIDENCE

What is claimed, and what the evidence supports

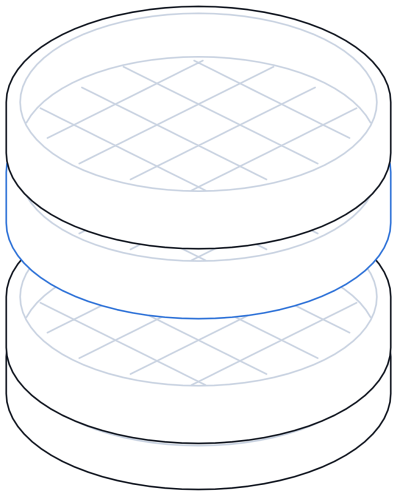
Common claims heard in board rooms and sales meetings, tested against the 2026 data.

CLAIM	OFTEN HEARD	WHAT THE EVIDENCE SUPPORTS
Everyone is seeing ROI	AI pays back within months.	A minority report material EBIT impact; most report none or small.[3,8]
Productivity is soaring	Teams are twice as productive.	Task gains can be large; firm-level gains are about 0.2% a year so far.[5]
Spend will slow	The bubble is about to burst.	Forecasts and capex guidance are still rising; delays are about capacity.[1,19]
Agents replace processes	Let agents run the workflow.	Many firms report reversals and untraceable failures, per vendor surveys.[6,10]
Jobs will vanish now	AI is cutting headcount at scale.	Around half of UK adopters report no headcount effect.[11]

HOW VALUE LEAKS

Four filters between a pilot and the P&L

Most AI value is lost between the demo and the accounts.



01 **Task gain without workflow change**

Minutes saved are absorbed unless work is redesigned, as most of McKinsey's high performers have done.[3]

02 **No baseline, no proof**

Without a before measure, gains are anecdote. Only 12% in KPMG's pulse consistently assess value against cost.[7]

03 **Running costs outgrow the gain**

Token charges scale with use; one in five McKinsey respondents say costs already limit use.[4]

04 **Reliability incidents erase the benefit**

One bad agent action that reaches a customer or ledger can cost more than months of saved effort.

03

PART 03

Agents.

Agents act, not just answer. That changes the risk, the controls and the economics.

01 What the 2026 surveys show

02 How agent failures spread

03 Who is seeing value, and why

AGENTS

When software acts on its own judgement

> **Rollbacks are not the failure. Being unable to see, stop or undo an agent is.**

Agents moved from slides to production in 2026. McKinsey found 40% of organisations with over $1 billion in revenue now scale agents in at least one function, up from 27% a year earlier; among smaller firms the share stayed at 22%.[23]

The reliability evidence comes mostly from vendors, and it should be read that way. Kore.ai, which sells an agent platform, commissioned a May 2026 survey of over 400 US IT leaders: 79% had to reverse an action taken by an agent, 70% had met a failure their teams could not trace and 42% reported lost revenue from an agent failure.[6]

Sinch, a communications platform vendor, surveyed more than 2,500 AI decision makers and found 74% had rolled back or shut down a live customer communications agent.[17] Its most interesting result was that the rollback rate was higher, 81%, among organisations with fully mature guardrails.[24] One reading is that good controls make problems visible and stoppable, which is the point.

Salt Security, an API security vendor, found 49.8% of more than 380 respondents had confirmed or suspected unexpected or unauthorised agent activity. Only 17.5% could automatically stop a misbehaving agent in production.[10]

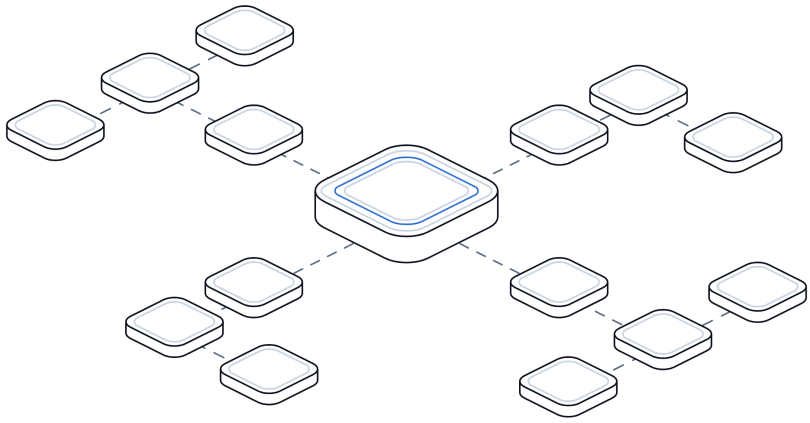
None of these is a neutral measurement. Samples are self-selected, definitions vary and each sponsor sells a remedy. But they agree with public incidents, such as the 2025 case in which a coding agent deleted a live database during a code freeze.[12]

The economic consequence is simple. An agent that is right most of the time but cannot be traced, paused or undone carries hidden costs: review effort, rework, customer remediation and regulatory exposure. Those costs belong in the business case from day one.

HOW AGENT FAILURES SPREAD

One action, many systems

A single wrong step can travel across systems. These are the points to catch it.



01 **Permissions wider than the task**

Agents inherit the access of their account. Scope each to the minimum it needs.

02 **Chained actions with no checkpoint**

In Kore.ai's survey, 40% said one agent failure cascaded across systems.[6] Add approval points.

03 **Activity no one can reconstruct**

Only 12.5% in Salt Security's survey could consistently trace an agent's full path.[10] Log every tool call.

04 **No fast way to stop or undo**

Agents need a kill switch, reversible actions and a tested restore route.

WHO IS SEEING VALUE

What the 6% do differently

The organisations reporting real returns are not using different models. They run AI differently.

Redesign the work

Nearly three quarters of McKinsey's high performers redesigned workflows around AI, against about a quarter of others.[3]

Measure against cost

Among organisations reporting returns, 48% consistently assess AI value against cost, against 12% overall.[7]

Govern before scaling

86% of those with established ROI run a formal control layer between models and business use.[7]

Put a senior name on it

High performers are more than twice as likely to report visible senior commitment and defined impact measures.[23]

> The pattern is consistent across sources: value follows discipline, not spend.

UK ORGANISATIONS

What it means for UK organisations

> **UK firms have adopted AI widely. The next step is using it deeply, and measuring what it changes.**

UK adoption has grown fast. The ONS estimates about 35% of businesses with 10 or more employees use at least one AI technology, up from about 12% in late 2023, rising to 49% among firms with 250 or more staff.[11]

Use is shallow. Only 10% of adopting businesses describe their use as extensive, and the average adopter uses about 1.6 AI technologies.[11] Most UK firms have bought a tool; far fewer have changed how they work, which is exactly where the return is made.

The ONS also finds around half of businesses report no headcount effect from AI, and has not yet published firm-level productivity estimates.[11] UK executives are part of the NBER sample, which found modest productivity effects to date.[5]

For mid-sized UK organisations, the reckoning is an advantage. You can avoid the pilot sprawl and runaway usage bills larger firms are now unwinding, and buy on evidence rather than fear of missing out.

Three UK-specific points apply. First, UK GDPR and the ICO's expectations apply to any agent that touches personal data, so audit trails and the ability to correct or reverse actions are compliance requirements, not extras. Second, sector regulators expect accountable humans for consequential decisions. Third, exchange rates and usage pricing mean AI costs quoted in dollars can move without warning; budgets need headroom and caps.

The practical stance is to treat AI like any other capital decision: a baseline, a target, a named owner, a cost envelope and a date to decide whether to scale or stop.

RECOMMENDATIONS

Seven moves to make AI pay

Drawn from the habits of organisations reporting returns, and from the 2026 failures.

01 **Fund fewer use cases, with targets**

Pick a small number where value is measurable in money, time or risk, and set the target before you start.

02 **Baseline before you build**

Measure cycle time, cost per case, error rate or revenue now, so the pilot can be judged.

03 **Redesign the workflow, not just the task**

Decide where saved time goes: removed cost, more volume or better service.

04 **Put agents in a control layer**

Least privilege, approval points for high-impact actions, full logging, a kill switch and tested rollback.

05 **Cap and track running costs**

Budget per use case, alerts on usage and a monthly cost per outcome.

06 **Report value like any investment**

A one-page quarterly view for the board: spend, outcomes, incidents and decisions.

07 **Set stop rules in advance**

If a use case misses its target by an agreed date, stop it and redeploy the budget.

FOR THE BOARD

Questions boards should ask

Use these at the next review of AI spend.

VALUE

- ? Which AI use cases have a baseline, and what has changed against it?
- ? What is our cost per outcome, and is it falling?
- ? Which initiatives have we stopped this year, and why?

CONTROL

- ? Which agents can act without human approval, and on which systems?
- ? Could we trace, pause and reverse an agent's actions today?
- ? Who is the named executive accountable for AI outcomes?

GLOSSARY

Terms used in this report

AI agent

An AI system that takes actions, such as calling tools or changing records, towards a goal.

EBIT

Earnings before interest and tax; a common measure of operating profit.

Baseline

A measure of performance before a change, used to judge its effect.

Capex

Capital expenditure; here, spending on data centres, servers and chips.

Control layer

The policies and tooling between AI models and business systems: access, approvals, logging and monitoring. KPMG calls this a harness layer.

Rollback

Reversing an agent's action or withdrawing an agent from live service.

Observability

The ability to see what a system did and why, from logs and traces.

Token

The unit by which most AI model usage is metered and billed.

Trough of disillusionment

Gartner's term for the phase after peak hype when results fall short of expectations.

Workflow redesign

Changing how work is done end to end, not just adding a tool to an existing step.

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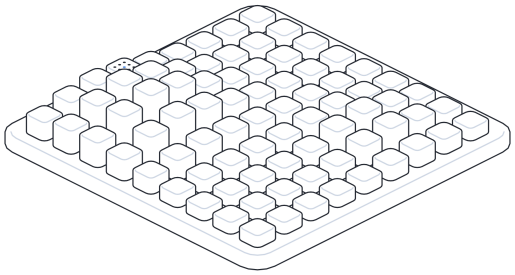
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